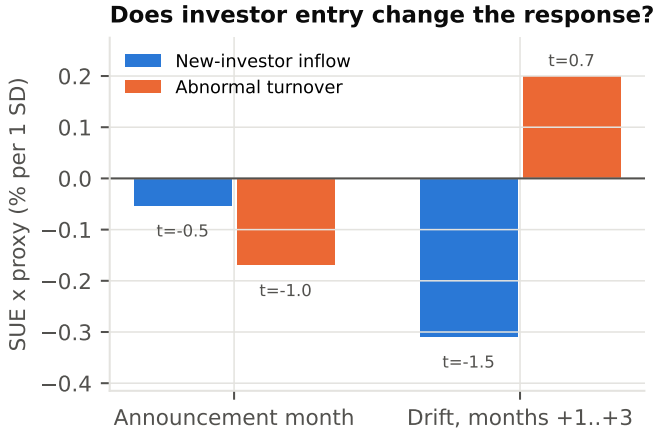
Idea 11 PoC — Waves of inexperienced investors and earnings news

Proof of concept, October 2026. Code: `idea11_new_investors/run.py`.

Question and design

Inexperienced investors amplify bubbles (Greenwood and Nagel, 2009). In China, new investors' entries predict low returns and explain daily momentum (Gao, Jiang, Xiong and Xiong, 2023). Do they also change how earnings news is priced? If waves of novices amplify underreaction, the announcement-month response to surprises should fall and the drift should rise in high-inflow months. The inflow measure is the monthly count of new A-share investors (CSDC, via Eastmoney; public, no firm codes needed), in logs minus its trailing 12-month mean. It is available from April 2015, which gives 48 announcement months and 47,370 announcements up to October 2020. The longer proxy, 2005–2020, is abnormal equal-weighted market turnover; its correlation with abnormal inflow is 0.54 over the overlap. The test is a pooled regression of size-adjusted returns on SUE and SUE × proxy, with month fixed effects and SEs clustered by month. The streak specification adds the gambler's-fallacy terms (SRW SUE, continuation dummy) and their interactions with the proxy.





Interaction with SUE (% per 1 SD of proxy)	Announcement month	Months +1 to +3
New-investor inflow (2015–2020)	−0.05 (−0.5)	−0.31 (−1.5)
Abnormal turnover (2005–2020)	−0.17 (−1.0)	0.20 (0.7)
Streak spec.: SUE×cont.×inflow	−0.27 (−1.4)	0.05 (0.3)
Drift slope, high- vs low-inflow months (29 months)	0.08% vs 1.08% per 1 SD of SUE	

Findings

- **No evidence that novice waves amplify underreaction.** Neither the announcement-month response nor the drift moves significantly with new-investor inflow or abnormal turnover.
- **If anything, drift is weaker when novices flood in.** In above-median inflow months the drift slope is close to zero (0.08%), against 1.08% in other months. In the streak specification the SRW drift slope falls with inflow (-0.37, $t = -2.0$). This fits attention-driven trading that speeds up incorporation, but the series is short.
- **The streak effect does not vary with inflow either.** The gambler's-fallacy interaction is unrelated to novice entry, so the streak result does not appear to be driven by these waves.

Assessment and next steps

Weak as a standalone paper with these data: only 48 announcement months with inflow data, and the turnover proxy is not specific to novices. To revive it: (i) obtain the weekly CSDC series back to 2005 (Wind or CEIC) to cover the 2007 and 2015 waves; (ii) use cross-sectional exposure to novices (e.g. retail share, low price, lottery-like stocks) and interact it with inflow; (iii) look at the speed of incorporation with daily returns, since the sign here hints at faster pricing in hot markets. Lowest priority in Section C.